CITY ATTORNEY IMPARTIAL ANALYSIS OF MEASURE Q

On May 5, 2026, the Half Moon Bay City Council adopted Ordinance No. 2026-01, approving four agreements between the City of Half Moon Bay ("City") and Mercy Housing California 110, L.P. ("Mercy"), an affiliate of Mercy Housing California, for the use of City-owned property located at 535 and 555 Kelly Avenue (APNS: 056-150-220 (Partial) and 056-150-200) ("Property") for an affordable housing development for senior agricultural workers and 2,653 square feet of community serving space ("Project").

Measure Q has been placed on the ballot because the City received a petition signed by the requisite number of voters seeking a referendum on Ordinance No. 2026-01.

If approved by the voters, Measure Q would adopt Ordinance No. 2026-01, approving the following four agreements (collectively, "Agreements"):

1. Affordable Housing and Property Disposition Agreement. This agreement governs the pre-development phase and establishes conditions precedent that Mercy must meet before entering into the Ground Lease for the Property with the City. The conditions precedent include, without limitation, requirements regarding Project financing and other construction and development documents.

2. Ground Lease for the Property. This agreement establishes the contractual obligations for leasing the Property and would be for a period of 99 years at a rate of $1 per year. Mercy Housing would be required to, among other things, construct and maintain the improvements on the Property ("Ground Lease"). The Ground Lease also includes specific covenants relating to the affordability restrictions, preference program, and certain terms and conditions for use of the community serving space.

3. Memorandum of Ground Lease. This is recorded against the Property and alerts interested parties of the Ground Lease and where a copy of the Ground Lease may be obtained.

4. Affordable Housing Regulatory Agreement and Declaration of Restrictive Covenants. This agreement and declaration would specify, without limitation, requirements regarding affordability levels for the Project's housing units and are recorded against the Property.

If approved by the voters, Measure Q would adopt Ordinance No. 2026-01 that authorizes the City Manager to execute the Agreements, take actions necessary to implement the Agreements, find the Agreements' approval exempt from the California Environmental Quality Act ("CEQA") section 15332 (Infill Projects), make Government Code section 37364 findings, require the City Manager to review the Ground Lease at least every seven years.

A "YES" vote is a vote in favor of Measure Q and in favor of adopting Ordinance 2026-01.

A "NO" vote is a vote against Measure Q and against adopting Ordinance 2026-01.

Measure Q will be effective only if a majority of voters voting on the Measure vote in its favor. The above statement is an impartial analysis of the Measure.

If you desire a copy of the ordinance or measure, please call the City of Half Moon Bay City Clerk's Office at (650) 726-8250 and a copy will be mailed at no cost to you.

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City of Half Moon Bay